Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
And
KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Rebuttal Testimony

of

Charles F. Willard

Case 23-G-0225
Case 23-G-0226

Dated: September 22, 2023

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Rebuttal Testimony of Charles F. Willard

I. Introduction

Q. Please state your name and business address

A. My name is Charles F. Willard. My business address is 300 Erie Boulevard West, Syracuse, New York 13202.

Q. Are you the same Charles F. Willard who previously submitted direct testimony in these proceedings?

A. Yes. The terms defined in my direct testimony have the same definitions here.

Q. Mr. Willard, what is the purpose of your rebuttal testimony?

A. I am responding to testimony from the Department of Public Service Staff ("Staff") Site Investigation and Remediation ("SIR") Panel ("SSIRP") recommending adjustments to the Companies' proposed rate allowances for SIR programs. In addition, I am responding to testimony from Public Utility Law Project of New York, Inc. ("PULP") witness William D. Yates regarding PULP's claims that KEDNY shareholders should bear a percentage of future SIR costs.

II. SIR Program Costs

Q. Please describe the SSIRP's proposal to forecast the Companies' SIR program costs.

A. The SSIRP proposes (at 49-53) to forecast KEDNY and KEDLI's SIR costs using a two-year average of actual costs, comprised of calendar years ("CYs") 2021 and 2022, plus inflation. The SSIRP's methodology results in $21.041 million and $2.015 million reductions to KEDNY and KEDLI's revenue requirements, respectively.

Q. Do you agree with the SSIRP's proposal?

A. No. I believe the Companies' method results in a more accurate forecast of SIR costs. Specifically, the Companies' approach is tailored to address the concerns and differences unique to KEDNY and KEDLI's environmental remediation sites. Rather than use a simple two-year average, the Companies' method is based on a detailed site-by-site analysis, utilizing the work schedules from the New York State Department of Environmental Conservation ("DEC") and the actual hands-on experience and knowledge of the Companies' project managers regarding anticipated site work. The Companies also appropriately normalized the forecasts to account for anticipated delays and historic underspend, with KEDNY and KEDLI's Manufactured Gas Plant

("MGP") sites reflecting 20 percent and five percent reductions, respectively. In addition, KEDNY's forecast for work at its Superfund sites was lowered by $27 million to account for potential insurance recoveries.

In contrast, the SSIRP's proposal is nothing more than a results-driven approach that artificially lowers SIR expense. For example, had the SSIRP used a three-year instead of a two-year average for KEDNY, the forecast would be approximately $110 million per year, which is $10 million higher than KEDNY's forecast and $31 million higher the SSIRP's forecast. Using an average that extends over three, four, or five years similarly yields a higher average than that proposed by the SSIRP, as shown in Tables 1 and 2, below. Note that the tables include both an ENR index, which the SIR program uses for inflation calculations, and the GDP index, which is utilized by the Revenue Requirements Panel and has been used by the SSIRP in the past for inflation calculations.

Table 1 – KEDNY's SIR Forecast Using a Two, Three, Four, and Five-Year Average

	ENR index	GDP index
5-year average	$84,382,401	$82,919,687
4-year average	$95,629,862	$94,054,383
3-year average	$111,514,102	$109,820,730
2-year average	$79,268,836	$78,846,761

Table 2 – KEDLI's SIR Forecast Using a Two, Three, Four, and Five-Year Average

	ENR	GDP
5-year average	$8,086,977	$7,920,086
4-year average	$7,504,306	$7,362,577
3-year average	$6,511,992	$6,411,992
2-year average	$4,835,858	$4,804,562

Q. Are there additional reasons why the Companies' approach is preferrable to the SSIRP's two-year average?

A. Yes. The results of the Staff's forecast are completely at odds with the likely level of work that is anticipated to occur in the Rate Year and Data Years. For example, work at the Gowanus Canal, which impacts KEDNY, is ongoing and expected to significantly ramp up. At the Fulton site, New York City has begun construction of the combined sewer overflow tanks to comply with an EPA order. In addition, KEDNY is working with the owners/developers of both the Fulton and Citizens MGP sites to meet the June 2026 Brownfield tax credit redevelopment deadline. Similarly, KEDLI expects to conduct remediation at the Inwood site. This anticipated work will result in levels of SIR costs incremental to that which occurred in the two-year average used by the SSIRP.

Moreover, the Companies' method is designed to mitigate future deferrals and surcharge recovery. While the Companies acknowledge the SSIRP's support of the SIR reconciliation and SIR Recovery Surcharge (at 54), the Companies are concerned that adoption of the SSIRP's forecast will more than likely result in the SIR Recovery Surcharge being triggered in the Rate Year. For all these reasons, the Companies submit that their forecasts are more reasonable and should be utilized to set rates in these proceedings.

III. Vendor Audit Recommendations

Q. Do you agree with the SSIRP's recommendation (at 14-18) to assess whether it is prudent to continue using the Veolia Middlesex Treatment, Storage, and Disposal Facility ("TSDF")?

A. The Companies agree that it is important to review and assess the status and compliance of TSDFs. To that end, the Companies have a robust process to evaluate TSDFs and ensure compliance with state and federal regulations. Specifically, the Companies established an internal Vendor Advisory Group to evaluate, pre-qualify, and regularly audit their waste disposal vendors who operate TSDFs. The evaluation and audit process includes, among other things, an independent audit conducted by a non-profit association that evaluates and audits waste vendors. The Companies

have relied on this process to assess their use of the Veolia Middlesex TSDF and will continue to do so as part of normal periodic reviews. At this time, based on the level of risk of exposure as determined by the Companies' audit, as well as the cost implications of using other facilities, with the next closest facility located approximately 980 miles from Brooklyn, the Companies believe it is prudent to continue to use the Veolia TSDF. As suggested by the SSIRP, the Companies will continue to evaluate and assess the use of TSDFs consistent with current practice. If issues are found, the Companies will advise Staff and undertake the appropriate remediation.

IV. Reporting Recommendations

Q. Does KEDNY agree with the SSIRP's recommendation (at 31) to report the outcome of the Century Indemnity insurance policies litigation to the Commission?

A. KEDNY agrees with providing Staff information regarding the final disposition of the Century Indemnity Insurance policies litigation, subject to a request for confidential treatment consistent with the Commission's rules and in line with past practice regarding the confidential provisions of SIR-related litigation.

Q. Does KEDNY agree with the SSIRP's recommendation to report the outcome of the pending Williamsburg MGP Site litigation (at 31-33)?

A. Yes, KEDNY agrees with providing Staff information regarding the final disposition of the Williamsburg MGP Site litigation, subject to a request for confidential treatment consistent with the Commission's rules and in line with past practice regarding the confidential provisions of SIR-related litigation.

V. PULP's Recommendations

Q. PULP witness Yates claims (at 55-56) that KEDNY shareholders should bear a percentage of future SIR costs through the earnings sharing mechanism. In addition, he claims (at 55-56) that the Commission should assess the amount of SIR costs attributable to deviations by KEDNY from the Commission's SIR Generic Order and require shareholders to fund a portion of the deferral balance based on that assessment. Do you agree with PULP witness Yates' claims?

A. No, I do not. While PULP witness Yates makes a passing reference to the Commission's 2019 Order adopting KEDNY and KEDLI's current rate plans, which, incidentally, included full funding of SIR costs together with deferral treatment and approval of the SIR Recovery Surcharge, he cites no evidence of any deviations or analysis to support that KEDNY's cost

control practices are in any way non-compliant with the SIR Generic Order's Best Practices for Utility SIR Programs. Indeed, KEDNY's cost control efforts are well documented, follow the Commission's best practices inventory, and have been reviewed by Staff in this and other proceedings and found to be reasonable and compliant. PULP conducted no discovery and offered no testimony to suggest that KEDNY's cost mitigation strategies and procurement practices were inadequate or imprudent.

In fact, PULP witness Yates' only argument – that the Commission in the 2019 Order required additional cost reporting – is moot as KEDNY has regularly reported costs with the additional level of detail requested by the Commission. The only party who conducted discovery and reviewed KEDNY's SIR practices and cost information was the SSIRP, which found (at 55) that KEDNY "sufficiently satisfied the informational requirements of the SIR Order and adequately demonstrated compliance with the 'Inventory of Best Practices for Utility SIR Programs.'" As such, PULP's claims should be rejected in their entirety.

Q. Does this conclude your testimony?

A. Yes.